

Chapter-6

Pricing Strategy & Terms of Payment in International Context

Introduction

- ***Pricing is the process by which a business determines the price at which to sell its products & services***
- ***It is the process of setting/fixing a value for goods & services in exchange for payment.***
- ***Pricing decisions are complex for international marketers.***
- ***Pricing decision in international market becomes crucial & more complex b/c:***
 - ***Marketing environment changes,***
 - ***Expectations of customers are different.***

Definition of Price

- ***It is the quantity of payments given by one party to another in return for goods or services.***
- ***It is the amount of money charged for a product or service.***
- ***Price is the value that is put into a product or service.***
- ***Price is the only marketing mix that raises revenue for the organization.***
- ***All other elements involve costs.***

Factors Affecting Pricing Decisions

- ***Cost of the product***
- ***Levels of competition in foreign market***
- ***Demand for the product in foreign market***
- ***Exchange rate fluctuation***
- ***International transportation cost***
- ***Governing trade policies & pricing regulations***

Pricing Approach/Methods/Strategies for International Market

- **Cost based pricing:** is a method of setting the price of goods or services based on **cost**.
- It is cost plus a certain percentage of profit.
- **It is based on the cost of production, manufacturing, & distribution of a product.**
- **Competitor Based Pricing:** is a pricing method that involves setting the price in relative to the price of competitors.
- It is adjustment and adaptations of pricing depend on the prices quoted by competitors.

- **Price skimming-** setting high price before other competitors come into the market.
- It is used for the launch for new product that faces little or no competitors.
- The price is set at the highest possible level that the most interested customers will pay for the new product.
- **Penetration pricing-** It is the setting of a low price to gain rapid penetration of the market.
- A relatively low initial price is established for a new product.
- The aim of this strategy is **to penetrate the mass market immediately and a large market share.**
- Lower price creates brand awareness.
- Once your brand has captured consumer attention it will retain the customer even if prices rise.

- **Value based pricing** – price based on a customer is perceived value of a product or service.
- ***It is setting prices based on customers & how they perceive the value of the product.***
- Considering how much customers think it's worth.
- The more your audience thinks your product or service is **worth**, the **more you can charge**.
- **Psychological pricing:** It is a method of changing the price to simulate it is smaller than it is.
- Example Br **3.99 is perceived as "cheaper" than Br 4.**
- **Differential pricing:** different prices are charged in different markets and segments based on business environment vary from country to country.

Dumping

- *Dumping is the practice of charging different price for the same product.*
- *It involves charging lower prices abroad than at home.*
- *It is a type of pricing strategy for selling products in foreign markets below cost, or below the price charged to domestic customers.*
- *Dumping is practiced to capture a foreign market and to damage rival of foreign national enterprises.*

Types of Dumping

- **Sporadic dumping:** it occurs when an international company sells its unsold inventories in a foreign country to get rid of them.
- **Predatory dumping:** it is selling the product in a foreign market at a loss as a strategy of entering the market.
- **Persistent dumping:** it involves consistently selling the product at lower prices in one market than in other markets.
- **Reverse dumping:** the product is sold at a high price in international markets and at a low price in the domestic market.

Price standardization Vs. adaptation

- ***Price standardization** refers to the process of maintaining the same product price across all markets.*
- It involves setting a fixed/uniform price for a product or service, regardless of the location or market conditions
- ***Price adaptation** involves adjusting the product prices in response to local market conditions.*
- It is the ability of a business to change its pricing strategies to suit different geographic areas, consumer demands & prevailing incomes.

Terms of Payment

- **Payment** occurs when some amount of money is transferred from one person to another.
- It is economic transaction between two parties.
- ***Domestic payment:*** when the payment is made within the boundary of the country.
- ***International payment:*** the payer & receiver are situated in different countries.
- ***Terms of payment*** are contractual statements fixing the point in time & the circumstances of payment for the products to be delivered.

Methods of Payment

- **Open account:** *It is a sale where the goods are shipped and delivered before payments are made.*
- *The buyer agree to pay to the seller at a later date.30, 60, 90 days.*
- *The buyer can pick up goods without having to make payment first.*
- **Cash in Advance (advance payment):** *This method allows the buyer to pay cash in advance to the seller.*
- *Paying in advance gives the greatest protection for the seller and puts the risk on the buyer.*
- **Consignment:** *it is used when goods are shipped but ownership is retained by the seller.*
- *With consignment sales, the seller does not receive payment until the importer sells the goods.*
- *The product stays with the importer until all the terms of the sale have been satisfied.*

- ***Bill of exchange (Draft):*** is a request for payment. It is a written agreement b/n parties.
- *It is a negotiable instrument that contains an order to pay a payee on demand or at a fixed time.*
- ***Letter of Credit:*** a document issued by a bank that guarantees payment to the seller if the buyer fail to pay. The bank act as intermediary b/n the buyer & seller
- *it is an undertaking by a bank for payment instead of relying on the ability or willingness of buyers to pay.*
- *Letters of credit shift the buyer's credit risk to the bank.*

Export Documents and Shipment

- *There are several kinds of shipping documents.*
- **Export Declaration:** *it presented at the port of exit includes the names & addresses of the principals' involved, full description of goods & their destination.*
- **Bill of lading (BOL):** *it is a document issued to record shipment transportation.*
- *It shows that the carrier has received the freight as described and is obligated to deliver that freight in good condition to the buyer.*
- *It acts as a receipt and a contract.*

- **Commercial Invoice:** it is a document that provides an itemized list of goods shipped & other charges.
- It is a bill for good sold stating basic information about the transaction.
- It is a document required by customs to determine true value of the imported goods, for assessment of duties and taxes.
- It must identify the buyer and seller, and clearly indicate the date and terms of sale, weight and/or volume of the shipment
- **Insurance policy or certificate:** it is evidence that insurance has been obtained to cover stipulated risks, during transit.
- It is a negotiable document issued to provide coverage for a specific shipment.

- **Export/Import Licenses:** *Export license is a government document that permits the exporter to export designated goods to certain destinations.*
- **Certificate of product origin:** *it confirms that the goods being shipped were produced in the exporting country.*
- *It is a document prepared by the exporter & used to declare that the merchandise originated in a certain country.*
- **Inspection Certificates:** *it is a document certifying that the merchandise was in good condition immediately prior to shipment.*
- *It needed to provide assurance that the products have been inspected & they confirm to relevant standards like absence of disease.*